GCC term sheets look different this quarter. Debt is showing up before equity.

Founders are reaching for private debt first. Not playing safe. Done paying the tax of defending a valuation nobody believes.

No mark to defend. Ownership stays intact. Cap table stays clean. The lender underwrites cash flow, not a story.

Not a retreat from venture. A quiet rebalancing of instruments, because the valuation game got too expensive to keep playing.

Capital that shows up first as a lender gets the best seat when the equity round happens. Information rights. Relationship. First call.

Founders chasing the highest valuation optimize for a headline. Capital chasing the first lending relationship optimizes for the next ten years. Full read below.

Sun Choi

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